

Constructive for Whom? The Fate of Diversity Disputes in Organizations

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Managers and dispute resolution professionals find themselves increasingly involved in the management of conflicts that have significant legal and performance implications for their organizations. In this context, constructive conflict management practices have gained considerable currency. There is, however, one kind of dispute that these practices leave unaddressed: disputes that arise out of, or are complicated by, social diversity. As new social groups enter the work force and move up in organizations, conflicts rooted in class, gender, race, and ethnicity have become more prominent. Existing discourses of organizational conflict management mask such conflicts, dealing with them in ways that are not constructive for all parties considered. An ideology of meritocracy in organizations privileging individual accounts of success, an absence of collective identity by groups, and differential access to power and influence keep disputes that arise from diversity from being heard on those terms. Some approaches are suggested to help organizations deal constructively—for all—with conflicts that have their bases in social diversity.

A junior faculty member complains to his university ombudsman that one of the senior faculty members has been making unwanted sexual advances to him. The senior faculty

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member denies the allegations. In confidential consultations with both parties, the ombudsman works out an agreement that the senior faculty member will exempt himself from any role in decisions affecting the junior person's career, specifically tenure. The agreement satisfies both parties. Two years later, the junior faculty member is denied tenure and sues the university, claiming that there is a systematic pattern of homophobia within the department that has a chilling effect on many junior faculty members. The school prides itself on valuing diversity.

The partners of a franchised distributorship, one African-American and the other white American, are working to turn around the performance of their franchise. Faced with declining market share and a drop off in sales, they try to introduce a new distribution system. The new system brings to light performance problems among the sales force but it also divides the company along functional and racial lines. The sales force, predominantly African-American reports to the African-American partner, and the finance and operations people, mostly white Americans report to the white partner. The white partner's proposal to terminate poor performers in sales is met with an accusation of racism and discrimination by the African-American partner (Thomas, 1992).

After the birth of her second child, a 5-year associate negotiates with her managers a part-time work schedule in the accounting firm where she works. A consistently high performer, she anticipates making partner at the usual time. However, she is turned down when the committee decides that she does not have the breadth of experience required of a partner. She complains to the managing partner and he agrees to look into the matter. Recent hiring data shows that the firm is having trouble attracting women.

Managers and dispute resolution professionals increasingly find themselves involved in conflicts like these, which can have significant legal and performance implications. Organizations are investing heavily to enhance the capacity of their members to deal with conflict—through restructuring, training, and the design of dispute resolution systems. These practices of constructive conflict management have been used to resolve significant organizational disputes successfully. The problem, however, is that the practices of constructive conflict management leave the type of dispute represented above either essentially unaddressed or resolved in a way that is not constructive for all parties. The type of disputes that are problematic are those arising out of, or complicated by, social diversity.

As new social groups enter the work force and move up in organizations, conflicts rooted in class, gender, race, and ethnicity have become more prominent. Existing definitions of what it means to manage conflict constructively fail to take account of the fact that the work force is more heterogeneous than it has been anytime in the past. Furthermore, this is happening at the same time that organizations, facing new competitive challenges, are instituting new structures that make conflict more prevalent.

In new organization forms, which have variously been described as networks, clusters, and/or postbureaucracies, the established lines of authority and formalized rules and procedures are gone. The requirements for getting work done reside less in the exercise of authority and more in the ability to communicate and negotiate with a wide variety of organizational members. Conflict is the essence of these organizations, inherent in the very fabric of their designs. As a result, there is a great deal of interest on the part of organizations and their members in finding new ways to deal with conflict constructively.

To deal with conflict constructively, however, is complicated by the changing character of the work force. Changing demography and demand for labor has resulted in a work force that is considerably more diverse than the cohort even 10 years ago. This diversity inside the organization's walls imports and creates social conflict. As society's conflicts get played out on the organizational stage, they become intertwined with individual performance, career development, and other critical human resource issues. Though this is itself not a new phenomenon, the current intersection of changing demography and new organizational forms has exacerbated these tendencies.

Our purpose here is to explore the ways that organizations can learn to deal *constructively* with conflicts that have their bases in social diversity. In order to do that, we need to consider how these issues are talked about, understood, and managed within existing theories and practices of dispute resolution, i.e., the discourses of organizational conflict. There are three discourses of organizational conflict management, which we discuss in the following section. No discourse exists for disputes arising from diversity. There are a number of explanations for the suppression of these conflicts; we discuss these in the second section. In the concluding section, we consider what possibilities exist for managing conflict in a more inclusive and constructive manner using the introductory vignettes.

Discourses of Organizational Conflict Management

Groups of people, and organizations in particular, develop discourses for everything they do. By discourse, we mean, the accepted ways of thinking, talking, and acting in specific arenas (Scott, 1988). What is important about discourses is that over time, they come to be seen as natural and are, therefore, unquestioned. Because they are taken for granted, they exert powerful influence on action. For example, for many years the discourse on child care has gone by the label of "mothering." One effect of this discourse was that concerns about work and family were seen and treated as a women's issue. Ways of thinking and acting in the child care arena are beginning to change, partially as a result of a new discourse of "parenting," which includes not only discussions of fathers as primary care givers, but also emergent organizational policies on flexible schedules and release time for parents of either gender.

There are three dominant discourses on the constructive management of organizational conflict. There is a structural discourse that says organizations can deal with conflict by changing their structure (Kolb, 1986; Miles, 1980). There is a process discourse that says organizations can help people negotiate their differences (Bazerman & Lewicki, 1983). Finally, there is a complaint or grievance discourse that says organizations can pursue conflicts via formal dispute resolution systems (Ewing, 1989; Ury, Brett, & Goldberg, 1988).

The structural discourse of organizational conflict focuses on the necessity for increasing functional specialization, the inevitable conflict that results from

such structural arrangements, and the kinds of structural changes needed to deal with conflicts that arise between organizational entities (Lawrence & Lorsch, 1967; Thompson, 1967; Walton & Dutton, 1969). These changes include the creation of specialized roles and lateral groups such as task forces and teams that are superimposed on existing functional structures (Lawrence & Lorsch, 1967; Galbraith, 1977; Donnellon, 1993). The purpose of these structural changes is to reduce the conflicts that occur between members with diverse organizational interests. To the degree that gender, race, or ethnicity are factors in conflict, they are masked within an organizational group focus (Alderfer, 1986).

The process discourse has developed as new, less hierarchical, organizational forms have become more prevalent. In the decision making of such organizations, groups (and individuals) with relatively equivalent power but different interests and resources need negotiation skills in order to establish their influence and control and secure what they need to do their work (Bazerman & Lewicki, 1983; Lax & Sebenius, 1986). Here the assumption is that individuals need to, and can, acquire the skills necessary to deal constructively with conflicts as they arise in the normal course of doing the work. In these negotiations, power and influence are derived from organizational and transorganizational dependencies and strategic orientation (Pfeffer & Salancik, 1978; Zucker, 1977). The issues to be negotiated are those that cover more or less routine issues in the workplace such as task responsibilities, resource allocation, performance evaluations, and schedules. In the discourse of negotiation, individuals speak for themselves or their group, seeking to resolve the inevitable differences that occur in the process of doing business. To the degree that these routine issues intersect with matters of race, gender, class, and ethnicity, social group concerns tend to be downplayed or ignored.^{1, 2}

The third form of discourse concerns constructive conflict in formal dispute systems. While grievance procedures have long been a fixture in union-manage-

¹This is not to say that collective entities do not exist; indeed, blacks, women, ethnic minorities, and other interest groups may cluster into support groups, caucuses, and networks (Friedman, 1991). However, these groups generally lack the kind of voice and clout of groups that have formal power and influence such as unions. Thus we cannot understand diversity issues without attending to how disparities of power in organizations and structure and culture defuse certain kinds of political influence and enable some groups to control and dominate others (Braverman, 1974; Burrell & Morgan, 1979; Burroway, 1979; Edwards, 1979; Goldman & Van Houten, 1977; Kunda, 1992).

²Those who feel their lack of power often deal with conflict in the few ways that remain open to them. These include working behind the scenes and pursuing complaints through some form of grievance procedure. In the former, members keep their disputes out of public view and use private spaces to air complaints and seek support (Kolb & Bartunek, 1992). Given the limited possibilities to air conflicts that arise from gender and race, it is quite likely that members of minority groups make extensive use of these spaces to network and commiserate about problems they share in common. While these possibilities may be individually gratifying, unless they get introduced into the public discourse, they have the effect of perpetuating existing practices that give rise to problems in the first place.

ment agreements, more recently a wide array of organizations has installed complaint systems that are intended to give employees voice in the expression of their grievances (Edelman, 1990; Ewing, 1977; Hirschman, 1970; Rowe, 1987; Ury et al., 1988; Westin & Feliu, 1988; Ziegenfuss, 1988). The promise of an "open door," the availability of an ombudsman, a peer complaint board, and/or a multistep grievance procedure are often instituted as means to address conflicts within the organization. Indeed, in apparent contradiction to our claim here that organizations prefer to suppress social conflict, this avenue is seen as a primary way for organization members to pursue complaints that have gender or racial significance.

In fact, a certain number of disputes that have their roots in gender and race relations in organizations do find their way into dispute systems, e.g., sexual and other forms of harassment, disparate treatment, etc. However, as a vehicle for organizations to deal with conflicts arising from diversity, the dispute system approach is problematic. First, the few studies that have looked into how these procedures are used find that relatively few disputes find their way into the formal channels and that negative consequences (performance evaluations and promotions) attend their use (Kolb, 1987; Lewin, 1987). The effect is exaggerated for women who are more reluctant than other groups to pursue complaints through formal channels because they fear the consequences (Gwartney-Gibbs & Lach, 1991). This is not surprising. Given existing power structures in contemporary organizations and the norms against public claiming (in the absence of unions), it is unlikely that these formal channels constitute a location where social conflict and grievances are worked out (Kolb, 1987).

Second, complaint systems by design are intended to handle individual problems. Individuals grieve over specific incidents. Indeed, people often experience bias as an individual problem. Racist remarks and sexist treatment are typically seen by the victims as the conscious or unconscious action of individuals (Kolb & Silbey, 1990). By trying to resolve these issues at the place where they occur—by mediating between a woman and her boss for example—the problem remains an individual and isolated one. To the degree that the problem is more systemic and widespread, complaint systems are often ill-equipped to deal with them. Further, the confidentiality pledge that marks most procedures means that even if more widespread patterns exist, the evidence to document these patterns is unlikely to accumulate (Kolb, 1987). Ironically, the presence of these procedures may act as a safety valve and keep disputes in check at the same time as they mask more pervasive problems. Finally, the burden is placed on individuals to resolve their differences without similar pressure on the organization to change its culture and practices that make disputes of the gendered and racial sort more likely.

In these discourses, the management of conflict is assumed to be central to the smooth and integrated functioning of organizations. Whether conflict is

managed through structures and rules (Lawrence & Lorsch, 1967), by learning more expert negotiation strategies (Bazerman & Neale, 1983; Lax & Sebenius, 1986), or by channeling disputes to complaint handling systems (Kolb, 1987; Ury et al., 1988), the implications are similar. Constructive conflict management means keeping disputes under control. It is in the interests of management to ensure that conflicts and disputes do not threaten the existing social order. There is also a pervasive fear that disputes over race and gender, if aired, will be unpredictable, potentially explosive, and hard to contain. As a result, organizations and individuals employ discourses that seek to control these forces and have the effect of suppressing alternative discourses. Our perspective is, however, that such thinking is shortsighted. It fails to recognize that work force diversity is inevitable, that this diversity infuses all aspects of organizational life, and that it holds enormous potential for creativity and learning in the organization. Such learning will not come without conflict. In order to respond to the challenges of the new organization and its demands for commitment and collaboration (Donnellon & Scully, 1992), members must learn not merely how to resolve diversity disputes, but also how to learn from them.

We are not yet there. There are good reasons for those who lead organizations to deal with conflicts in ways that deny their systemic social group basis. We turn next to a consideration of why issues arising from diversity are suppressed in the existing discourse of constructive conflict management and some of the consequences.

Suppressing Diversity Discourse in Organizations

It is hard to get diversity into the discourse of organizations. When explanations for organizational conflict other than social diversity can be found, they tend to be asserted with such alacrity that those who would explore other causes are typically silenced. In effect, diversity as anything other than an abstract value or a rhetorical response to social concerns is still generally not discussed. In this section, we open up the discourse, by discussing four reasons for this suppression of the diversity explanation: the implicit challenge to the distribution of power, the ideology of individual merit, the absence of collective identity on the part of minorities, and the irresolvability of social conflict.

Social Diversity and the Distribution of Power

Differences among people who are working together in a coordinated effort—whether these are differences of opinion, interest or social group membership—are threatening. Because social diversity entails a diversity of experience and interest, it challenges convention and working agreements. It creates

ambiguity. Maybe new criteria for performance evaluation will be required and these may be difficult to define. Old timers may have to change their ways.

Barnard (1938), recognizing the potentially higher transaction costs that diverse groups incur, made the first, and perhaps only, written recommendation that executives should avoid such costs by hiring people of similar types:

The general method of maintaining an informal executive organization is so to operate and to select and promote executives that a general condition of compatibility of personnel is maintained. Perhaps often and certainly occasionally men cannot be promoted or selected, or even must be relieved, because they cannot function, because they "do not fit," where there is no question of formal competence. This question of "fitness" involves such matters as education, experience, age, sex, personal distinctions, prestige, race, nationality, faith, politics, sectional antecedents; and such very specific personal traits as manners, speech and personal appearance, etc. (p. 224)

Whether they heeded Barnard's advice, or had some intuitive understanding of the dynamics he described, or followed their tribal instinct, the managerial elite ruling U.S. corporations has always been, and remains today, an essentially homogeneous group of white men. This is less true of the ranks below the executive, which are characterized by considerable demographic diversity. As such, we observe that power and diversity are in inverse relation: the more powerful the group, the less diverse it is likely to be.

Acknowledging or legitimizing diversity thus questions the prevailing order. Often such questions are feared as preliminaries to demands for redistribution of some sort. Self-interest may thus lead those in power to interpret demands for recognition of the impact of social diversity on organizational dynamics as an implicit (and illegitimate) challenge to their governance. Those in power generally favor peaceable resolution to conflict; those without power do not rear disruption so much (Sheppard, Lewicki, & Minton, 1992).

People in power exercise control over most decisions that are made within the organization by controlling the premises under which decision making occurs (March & Simon, 1958). Thus, the powerful are able to preserve their positions, prerogatives (Michels, 1962), and even their own interpretations of experience (Gray, Donnellon, & Bougon, 1985). The less powerful—most of whom tend to be people with less social status—are denied voice (Hirschman, 1970), the opportunity to assert one's own interpretations (Gray et al., 1985), except when it is channeled into formal dispute systems. Powerlessness thus persists, allowing the powerful people not just to retain their own power and privileges, but also to perpetuate the self-delusions that power is reasonably distributed and that privilege is based on merit (McIntosh, 1988).

The Ideology of Individual Merit

One major obstacle in the progress toward legitimation of social diversity in organizations is the ideology of individual meritocracy (Scully, 1992). Mer-

itocracy is governance by the people with the greatest merit (Young, 1958). The allocation of responsibility within an organization on the basis of merit is arguably the most cherished tenet of the bureaucratic form of organization (Donnellon & Scully, 1992). To this day, the belief that organizational power is allocated according to individual merit, rather than privilege or social rank, is a major motivational force binding employees to their organizations and in silencing challenges to the existing order. In the egalitarian U.S. culture, the belief that everyone can achieve his or her goals through unstinting individual effort is so profound that it shapes all of the major institutions of our society, from educational design, health care practices, and government policy.

But this ideology of meritocracy is problematic for diversity and dispute resolution. Individual merit is becoming harder to assess, as work becomes more complex and tasks create more interdependencies (Donnellon & Scully, 1992). This means that assessment, as it becomes more subjective, is becoming more susceptible to self-serving bias (Gioia & Sims, 1985; Miller & Ross, 1975; Rand & Wexley, 1975). Performance assessors, likely to be from the dominant group (or to have internalized the values of that group), are apt to perceive differences in performance (often merely stylistic) as deficiencies (Kanter, 1977; Murphy & Cleveland, 1991). Through this typically tacit process, "performance deficiencies" become "correlated with" the observable differences in gender, race, or ethnic origin. Thus, the vicious cycle of diversity, perceptual bias, and disparate outcomes is likely to reinforce the existing social order.

The use of objective metrics to qualify candidates for certain roles was, of course, one of the major legitimizations of bureaucracy. The majority of people continue to believe that, on balance, such measures produce fair treatment. As they decry the ineffectiveness of bureaucracies, they continue to subscribe to the myth of the meritocracy that most people get what they deserve. Thus, people are ideologically more likely to prefer explanations that are based on individual differences and are less likely to look for additional, and perhaps more significant, factors like social bias.

The Absence of Collective Identity

The ideology of individual merit is so deeply ingrained that individuals tend to ignore their collective identities, resist group memberships, and deny that these identities influence what happens to them. They prefer to strive for individual distinction, for reasons both positive and negative. Thus, they consciously or unconsciously ignore what collective bases for conflict may exist and so close out some avenues of conflict resolution.

As Kanter (1977) pointed out, people who are in the minority in organizations have higher visibility than majority group members. In these times of increased corporate sensitivity to public image with regard to social diversity,

individuals who are of a minority type and who excel may be offered unusual opportunities. While these opportunities may be due as much to their minority group membership as to their own merit, individuals are likely to find it more congruent with their sense of self to attribute their position to their own meritorious performance (for a review of research on gender and attribution, see Whitley, McHugh, & Frieze, 1986). Thus, they may hope to avoid marginalization or tokenism by the majority and may be surprised when their fellow minority group members seek coalitions or assistance from them.

Absent collective identity, the only course open is individual complaint. But here, because current practice in performance assessment is consistent with the ideology of meritocracy, disputes claimed to arise from social diversity are likely to be treated by organizational representatives as self-interested individual manipulations of larger societal issues. Those who press their claims on the grounds of social diversity are marginalized as malcontents, troublemakers, or social activists.

Anticipating such interpretations and treatment, people learn not to press their claims through the formal complaint system. As a result, the data do not accumulate that could document systemic patterns of discrimination against certain groups of people. Thus, patterns in the differential outcomes are masked as objective differences in performance. This in turn reinforces the view that people claiming social diversity as an explanation for conflict are trying to exploit their minority status and manipulate the system.

All of these factors contribute to the absence of collective identities in organizations, particularly at the level of professional and managerial employees where variable benefits accrue to individuals. Collective action, therefore, except for certain organized groups like unions, is an underdeveloped mechanism for dealing constructively with conflict.

The Irresolvability of Social Conflict

The final reason that social diversity is suppressed in the discourse of organizational conflict is that an organization can deal only with its symptoms and manifestations. These disputes are rooted in society. Therefore relative to other forms of conflict, disputes over diversity can never be ultimately resolved by organizations. Therefore, it is risky and costly to open up the diversity discourse.

Because issues of social diversity are central to identity and rights, the exploration of such conflicts is likely to be emotional for all parties concerned.³

³It bears mentioning here that such costs are not absent when conflicts arising from social diversity are treated in the typical ways that suppress that reality. They are simply experienced and born by one party, rather than both.

It takes longer to process such conflict thoroughly, assuming that it can be brought to some mutually satisfactory closure. It also requires considerable expertise to handle emotional issues. This time and talent are costly.

There is also a cost in diverting the attention and energy of organizational members from their work. Issues involving one's identity and rights are important not just to the individuals involved, but they also attract the attention of others. When disputes involve parties of different social groups and this becomes widely known, other members of the same groups are likely to attend to the resolution process for cues as to their own futures. More conflict may surface as a result.

There are additional psychic costs to minority group members in opening up the diversity discourse. Resolution of diversity based conflicts can result in stereotypes and labels that can have a negative impact on work relationships and performance (Carter, 1992). Again, other conflicts may be caused by the original resolution.

It is also sometimes claimed that organizations may, in the interest of closing down a dispute and restoring order, make concessions that would make the organization subsequently less effective. For example, urban police departments have sued in disputes over promotions claiming that affirmative action quotas make organizations less effective because they are staffed by less competent people.

It is not surprising therefore that organizations and the majority of their managers and employees would prefer to ignore or suppress the social basis of some conflicts. However, the realities of human nature and the world make such avoidance consequential.

Consequences of Suppressing Diversity

There are three important consequences of suppressing the social diversity explanation for certain organizational conflicts. First, as mentioned above, the underlying social conflict does not disappear when it is ignored or treated as an individual or organizational factor. The antagonism seeks and finds occasions or opportunities to be expressed in conflicts that are organizationally more acceptable (Smith, 1989). For example, Thomas (1991) found that unsuspected racial tensions accounted for the persistence and intensity of a labor dispute. Burroway (1979) argued that conflicts between workers over the use of new technology, resulting in lower production and quality, could be traced to class differences between the management and the employees.

Second, as implied by the two examples above, social conflicts create organizational costs whether they are addressed, ignored, or attached to other conflicts. From this one might conclude, as Chester Barnard proposed, that it would be preferable to reduce the amount of social diversity that exists in the

organization. However, as is now widely recognized, this would not only be difficult, it would be impossible for organizations to accomplish. Changes in demography and in the labor supply inevitably lead to a more diverse work force.

A third consequence is that competitive benefits that diversity could provide are not realized. As organizational environments and marketplaces become more global, they become more diverse. To compete more effectively in such contexts, organizations require the kinds of creativity and new ways of thinking that a diverse work force can bring to solving problems and developing new products and services. Realizing these advantages from diversity will require an enhanced capacity on the part of organizations to deal constructively with conflicts that accompany such diversity.

Managing Diversity Disputes

Practically speaking, the issue of social diversity within organizations illuminates some important problems with the dominant approaches to dispute resolution. In the interest of problem solving, complaints that go to dispute resolutions systems are individualized. Perversely, this approach prevents organizations from recognizing and addressing the institutional implications of such complaints. Further, the existence of these systems legitimates the expression of certain disputes and marginalizes others. Injunctions to negotiate differences also take place within an existing organizational reality that promises more of the status quo than change. Organizational rearrangements typically fail to address underlying issues (Kolb, 1989). There are, however, several approaches that have enabled organizations to deal constructively, for all parties, with diversity disputes. In this section, we propose four approaches: increasing the diagnosis of organizational conflicts, legitimizing the diversity lens, building support for collective action, and anticipating the consequences for the distribution of power.

Increase the Scope of Diagnosis

Disputes can be phrased in many ways. While the structure of formal dispute resolution systems encourage individual complaints, it is possible to help dispute resolution professionals think about redefining the problem in more institutional and group terms. Consider the university case we described at the beginning of this paper. The ombudsman has a number of choices in dealing with a charge of sexual harassment. In one case we know of, the ombudsman treated the charge as a symptom that the school might be creating a hostile environment for gays and lesbians in both overt and subtle ways. Based on this hunch, the ombudsman collected and then analyzed data that suggested a host of issues affecting junior faculty who were gay—few cohorts, demands on their time for committee work and student counseling, and exclusion from high-visibility pro-

jects, among others. Armed with this systemic understanding of the problem, the ombudsman was able to work with the entire department to design a set of interventions that enabled them to air and discuss these issues and to set up a process for situations that might arise in the future. A potential benefit to the organization arising from this diagnosis and the resulting solutions could be a larger pool from which high-performing students and faculty could be selected. A more tolerant environment might attract more gays and lesbians.

There are always obstacles to extending the role of the dispute resolution professional in the terms we describe here. First, there are norms of confidentiality that empower complainants to bring problems to an ombudsman. Opening up the dispute obviously requires that the complainant concur. Relatedly, some dispute resolvers claim to leave choice of how a conflict will be dealt with up to the individual (Rowe, 1990). It is our contention that dispute resolution professionals need to weigh these choices against potential organizational costs from keeping these matters hidden.

Legitimate the Diversity Lens

For diversity to offer the potential for transformation, it must be legitimized. There must be a mind-set among those at the top of the organization (and those who are assigned to address disputes) that values and seeks out a diversity of perspective on organizational phenomena. If one of the first reactions to a dispute, as proposed above, is "Could this be a function of social differences?" then the questions and actions that follow are likely to legitimate diversity as a source of both conflict and potential benefit. This can be accomplished in a number of ways.

Organizational diagnosis, when conducted by insiders, is often quite narrow and avoids conclusions that might stress the system (Kolb, 1986). All managerial employees need to be taught to expand their purview when it comes to analysis and include questions that ask, "Could this dispute be a function of social differences?" Being taught how to assess the full set of influences on organizational dynamics and outcomes, including social differences, would not only develop managers' ability to recognize the impact of such diversity, it would also signal the importance being attached to it as a factor in organizational conflicts. Such programs legitimate the diversity lens and communicate to managers that it is not apart from organizational functioning but an integral part of it and must not be marginalized.

The hiring of outside consultants, until internal capacity is acquired, can also be an effective means of legitimizing the diversity lens. In the franchise distribution case, failure to see how race intersected with the organization's structure and performance standards was costly. An outside consultant openly explored the diversity explanation. With this legitimation, and after some resis-

tance, he was able to help the partners see how race infused not only their own relationship, but also the functional areas they managed, and their ability to deal with performance problems. As a result of the intervention, the partners recognized the intricate interweaving of race relations and organizational systems and structures as causes of their conflict. Only then were they able to deal with the sales force problems and ultimately turn around the company's performance. Had the conflict resolution effort been focused solely on structural arrangements or on the individual behavior of the alleged racist, it is likely that not only would performance have suffered, but race relations in the firm would have deteriorated considerably.

Support Collective Action

It is possible, although often quite difficult, for individuals who are connected by their minority status to band together as a coalition for change. Collective action can be initiated at many levels in the organization and can force an organization to openly deal with conflicts that arise from social diversity. In the accounting firm described, the women partners convened a meeting to explore their interest in forming a network, whose purpose would be to advocate for change in the career track and management of women in the organization. In a culture of professionals, where individuals rarely work together, helping the group surface its conflicts and find a basis for collective action is difficult (Morrill, 1992). However, once the network was established, its members acted together to bring gender issues to senior management and have initiated a process to make it possible to be a part-time partner (see also Loveman, 1990).

Getting beyond the individual resistance to collective action is necessary but not sufficient. Once formed, minority coalitions also require the support of senior management. This is a critical antecedent to the effective management of social diversity because the phenomenon is group-oriented and there is a general tendency to be suspicious of collectivities within an organization, especially where the established order can be threatened. David Kearns, former Xerox chief executive officer, played the role of catalyst in developing tolerant, eventually positive, attitudes among senior managers of Xerox in 1970s when black professionals began to form a caucus. Sent to investigate the concerns that brought the group together, Kearns learned that the group not only had legitimate grievances but also discovered that there were numerous organizational benefits to be realized in supporting the Black Caucus (Friedman, 1991).

We are not proposing here a top-down model of change in which the organization or senior managers create social groups. Collective identity cannot nor should it be imposed on people. Its benefits to individuals and organizations depend on the voluntary association of people who identify with one another. Rather, we are proposing that managers prepare themselves to avoid negative

interpretations of collective action and defensive responses when collective action is taken.

Anticipate the Consequences for Power Distribution

People with power act to retain it. As discussed earlier, managers and other organizational members may interpret pressure to explore the diversity explanation for some organizational conflicts as a threat to their power and privilege in the organization. To manage such conflicts constructively for all parties may indeed entail some redistribution of power. By anticipating the consequences for those in power, it may be possible to offset some of the natural resistance to any redistribution. Linking a loss of personal power to an improvement in organizational well-being is useful. For example, the accounting firm could communicate to all partners that increasing the number of part-time professionals may help the firm continue to attract the best and the brightest, half of whom might otherwise choose to join competitor firms offering such benefits.

McIntosh (1988) makes an interesting, counterintuitive argument about the negative consequences that privilege has *for the privileged*. Asserting that privilege amounts essentially to unearned advantage and conferred dominance, she points out that

those who do not depend on conferred dominance have traits and qualities which may never develop in those who do . . . the "underprivileged" people of color who are the world's majority have survived their oppression and lived survivors' lives from which the white global minority can and must learn . . . Members of the so-called privileged groups can seem foolish, ridiculous, infantile or dangerous by contrast. (p. 13)

McIntosh thus implies that privilege may deprive a person of valuable developmental experiences. There are two organizational implications of this notion. The first is that organizations may derive enhanced benefit from its "underprivileged" members if they are willing and able to expand the definition of value. For example, minority-group managers may be better able to conduct delicate cross-cultural negotiations due to their experience in straddling multiple identities. The second organizational implication is that those who seek such changes must help the privileged recognize that there will be personal benefits—not merely costs—in altering the current practices. Developing one's own skill base through learning from others and increasing the size of the organizational pie through the fuller utilization of minority members' skills are compelling arguments for learning how to address diversity conflicts constructively for all parties—despite the consequences for power distribution.

Conclusion

The argument that we have tried to develop is that the concept of constructive conflict is not an absolute. As practiced, it has proven constructive for some,

under some circumstances, but not for all parties to organizational conflicts. In order for organizations to rise to new challenges and become hospitable to all, the role of social group diversity in organizational conflict must be recognized, legitimated, and incorporated into processes of conflict management and dispute resolution. To achieve these outcomes, the discourse of diversity must be opened up and enriched.

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